ENCODE BUILD ON CANTON · CHECKPOINT 2

Veil

Private repo-style financing against tokenized collateral on Canton.

Private Credit | Tokenized Collateral | Selective Disclosure

PROBLEM

Institutional financing needs privacy and shared state

Private credit, repo, OTC secured lending, and treasury financing involve sensitive business data.

1

Counterparties

Borrower and lender identity cannot leak to the market.

2

Terms

Pricing, maturity, collateral, and health are commercially sensitive.

3

Regulators

Auditors need visibility without making deals public.

4

Reconciliation

Offchain emails/PDFs/spreadsheets create operational drag.

```
public chain → everyone sees terms
offchain ops → private but fragmented

needed → shared workflow state
needed → need-to-know visibility
needed → auditable authorization
```

SOLUTION

Veil: private bilateral financing execution

A known lender privately offers financing to a known borrower. The borrower pledges tokenized collateral, accepts the offer, receives principal, repays, and gets collateral released.

Veil is not a discovery marketplace. It is the private execution layer after counterparties agree to transact.

```
LoanOffer lender signatory
borrower + regulator observe

Accept borrower controls
locks collateral + delivers principal

Repay borrower controls
closes loan + releases collateral
```

HOW IT WORKS

The private financing lifecycle

01 · FUND

Initial holdings

Lender starts with cash. Borrower starts with tokenized T-Bill/MMF collateral. Each holding is visible only to its owner.

02 · OFFER

Private terms

Lender creates a borrower-specific offer. Borrower and regulator observe; outsiders cannot query it.

03 · ACCEPT

Atomic drawdown

Borrower accepts. Collateral locks and principal is delivered in the same Canton transaction.

04 · OBSERVE

Selective disclosure

Regulator gets read-only visibility as an observer without making the deal public.

05 · REPAY

Close facility

Borrower repays principal plus interest. Loan closes and collateral is released back to the borrower.

06 · RISK

Optional liquidation

If collateral value drops below threshold, lender can liquidate under on-ledger LTV rules.

```
Privacy proof: same active-contracts query
lender/borrower/regulator -> deal visible
outsider -> []
```

```
Business proof: 100 principal + 5 interest
150 collateral units locked
105 repayment releases collateral
```

ASSET / FINANCING LOGIC

Concrete repo-style demo terms

100

USDC-equivalent principal

5

interest

105

repayment amount

150

tokenized T-Bill/MMF collateral units

Field	Value
Initial LTV	**66.7%**
Maturity	2026-07-13
Collateral state	Locked while active
Optional risk branch	Price drop -> LTV breach -> liquidation

WHY CANTON

Privacy is product logic, not infrastructure for its own sake

P

Need-to-know privacy

Lender, borrower, regulator see the deal. Outsider sees nothing.

A

Authorization

Signatories/controllers define who can create, accept, repay, or liquidate.

L

Lifecycle

Offer acceptance locks collateral and delivers principal atomically.

R

Regulator view

Selective observer rights provide audit without public disclosure.

VISIBLE
Lender

→

VISIBLE
Borrower

→

VISIBLE
Regulator

→

EMPTY
Outsider: []

DEMO FLOW

A 3-minute judge path

1. Lender creates a borrower-specific offer with canonical financing terms.
2. Borrower sees the offer. Outsider sees nothing.
3. Borrower accepts; collateral locks and principal is delivered on-ledger.
4. Regulator observes read-only while outsider still gets an empty active-contracts response.
5. Borrower repays 105; loan closes and collateral releases.
6. Optional: price drop creates LTV breach; lender liquidates.

WHAT WORKS TODAY

Built and verified

Daml architecture

`CashHolding`, `CollateralHolding`, `LoanOffer`, `Loan`, and `LoanClosed`.

On-ledger flow

Asset movement for acceptance/repayment and guarded liquidation using lender-submitted mark/LTV.

Role-based UI

React/Vite UI over Canton JSON Ledger API v2 with raw ledger proof panel.

```
$ dpm build
✓ veil-0.1.0.dar

$ (cd test && dpm build && dpm test)
✓ lifecycle + privacy tests

$ npm --prefix frontend run build
✓ production frontend build
```

ROADMAP

From hackathon proof to institutional product

1

Token standard integration

Replace demo assets with Canton token standard / Canton Coin integrations.

2

Marketplace extension

Add `LoanProgram` and `BorrowRequest` for discovery before private execution.

3

Production signing

Add external signing, wallet flows, and production identity/auth.

4

Professional workflows

Add oracle-signed marks, PQS reporting, richer credit terms, margin calls, and compliance flows.

> Hackathon scope: prove private institutional financing coordination — not production token infrastructure.